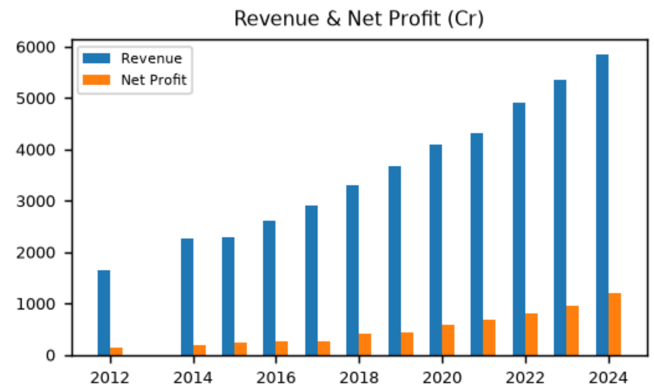
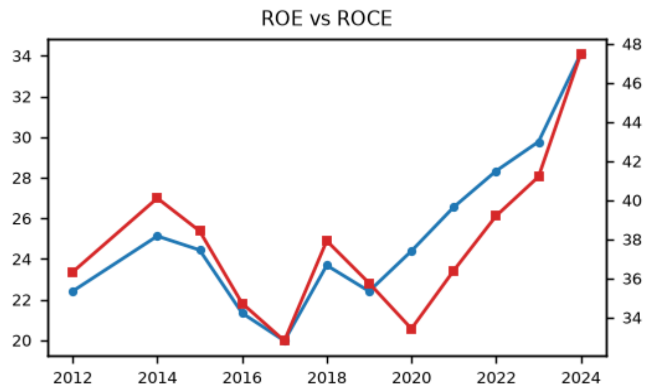
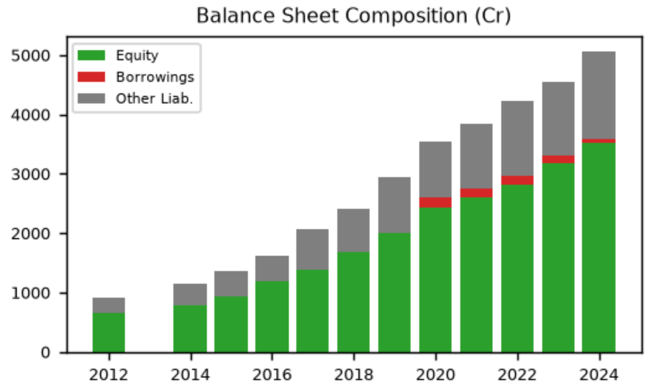
Abbott India Ltd (ABB)

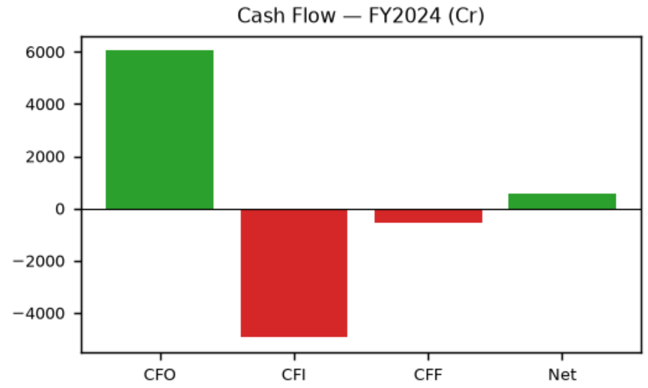
Industrials · Fiscal Year 2024

ROE 34.1%	**ROCE** 47.5%	**Net Profit Margin** 20.5%
D/E 0.0	**Revenue CAGR 5yr** 9.7%	**FCF (Cr)** 1,095









Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Debt-to-equity ratio of 0.02 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Shareholder Returns